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FREE REPORT

How to Negotiate Your Salary and Raises

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Preparation, assertiveness, and creativity are essential ingredients in salary negotiations. Here's how to ask for what you're worth without jeopardizing a job offer or your employment.

The Case for Negotiating Salary

The last time you got a job offer, did you try to negotiate to improve it? If you're like most people, you might not have. In a 2023 Pew Research Center survey, for example, about 60% of U.S. workers said they did not try to negotiate for higher pay when offered a job.

That's unfortunate because when you successfully negotiate for higher pay, you not only earn more right away but also dramatically boost your lifetime earnings. In their book *Ask for It*, Linda Babcock and Sara Laschever illustrate this with the example of two recent MBA graduates who are each offered a \$100,000 salary. One person accepts the offer as is, while the other negotiates for more and ends up at \$115,000 per year. Undoubtedly, an extra \$15,000 annually is really nice. But over the course of their careers, if both employees received 3% annual raises, and the person who negotiated invested their extra income in an account earning 3%, the negotiator would end up with over *\$1.5 million more in lifetime earnings* than the non-negotiator.

That's a staggering bonus for negotiating that first job—and it doesn't even include the many other issues one could negotiate, such as flextime, travel, remote work, and responsibilities. Negotiating a job offer that is better suited to your needs than the one on the table will likely improve your job satisfaction and performance, to the benefit of the hiring organization.

So, why are so many people reluctant to negotiate a job offer? Because they fear losing the offer entirely if they negotiate, researcher Einav Hart, Julia Bear, and Zhiying (Bella) Ren found [in a 2024 study](#).

In one experiment, the team surveyed nearly 1,500 employers with management and hiring experience about job offers they'd made in the past. Overall, the respondents said they had withdrawn only about 6% of the offers they had made over the course of their careers. When they did, it was often because a job candidate behaved inappropriately or rudely. So, revoking an offer seems to be uncommon—and typically not because the candidate asked for more.

Yet across this and other experiments, job candidates viewed offer revocation as a significant risk of negotiating. In fact, they viewed it as 33% more likely than managers did.

Why do candidates overestimate the risk of losing a job offer? First, the researchers found, candidates tend to take a more competitive, zero-sum approach to job negotiations than managers do. “Candidates think that any gains on their end would come at the manager’s expense, and that any deal that would be good for the organization would be bad for them,” Hart and colleagues write in the *Harvard Business Review*. This type of zero-sum thinking is common in high-stakes negotiations, such as job interviews, and when we think we have less power than our counterpart.

And the Case for Negotiating *Beyond Salary*

The experimental results suggest that in most situations, you should feel comfortable negotiating your job offers. But don’t limit yourself to just asking for more money. Negotiating a broader range of issues will get you more of what you want and set you up for on-the-job success. When you launch a wide-ranging discussion of how you can contribute to the organization, you bring more issues to the table and increase the odds that both parties will be satisfied with the outcome.

“Reframe a zero-sum mindset by identifying potential win-win solutions in the negotiation,” recommend Hart and colleagues. “For example, maybe you care more about working remotely than about the small signing bonus. Your boss might really appreciate the savings and be flexible about where you work.” Such proposed trade-offs should be well received when you take the time to think about not only what you want but also what the organization likely values.

This big-picture view pays off in the long run. “Our research and our work coaching executives suggest that negotiating your role (the scope of your authority and your developmental opportunities) is likely to benefit your career more than negotiating your pay and benefits does,” write Harvard Kennedy School professor Hannah Riley Bowles and Pepperdine Graziadio Business School professor Bobbi Thomason in their *Harvard Business Review* article “Negotiating Your Next Job.”

Adapt Your Style for Maximum Success

Individual differences in negotiating style determine how to negotiate salary and what we achieve, researchers Michelle Marks and Crystal Harold found [in their research](#).

The researchers surveyed 149 professional employees who had been hired in the previous three years about their negotiations for their current position, including their attitudes toward negotiation and risk, their negotiation strategies and outcomes, and their level of satisfaction with the process of negotiating for their jobs. The researchers identified five types of negotiating strategies: *collaborating* (engaging in problem solving to reach the best possible outcome for both sides); *competing* (trying to maximize one’s own outcomes with little concern for others); *accommodating* (putting the other party’s concerns first); *compromising* (trying to reach middle ground); and *avoiding* (dodging negotiation altogether).

Independent of the power the applicants had at the table, their choice of negotiation strategy turned out to be the critical factor in determining effective salary negotiation. Those who chose to negotiate salary, rather than simply accepting the employer’s offer, increased their starting pay by an average of \$5,000, primarily by using competing and collaborating strategies. Those who behaved competitively did better than those who focused on collaboration, but collaborators were more satisfied than competitive bargainers with the negotiation process as a whole. By contrast, compromising and accommodating strategies were not linked to salary gains.

The study's authors conclude that it pays to negotiate assertively for your salary. They also encourage employers to recognize that giving employees wiggle room to bargain up their starting pay could help create a more satisfied, productive workforce.

Get Out of Your Own Way

In 2013, Ira Glass, the creator and host of the long-running public-radio show *This American Life*, was offered a raise by Chicago public-radio station WBEZ, the show's producer. His salary was set to jump from \$170,000 to \$278,000, he told the *New York Times*. Rather than celebrate, Glass responded by asking for his salary to be *lowered* to \$146,000 (less than the starting point of the negotiation) and later asked for it to be lowered it again.

It wasn't that Glass didn't need the money. He revealed to the *Times* that he'd been booking speaking engagements on the side to help cover living expenses in New York City. He simply said he felt "weird" about the big bump in pay.

Negotiation is difficult, and sometimes we make it even harder by creating extra roadblocks for ourselves. When thinking about how to negotiate a higher salary, we have to recognize how we "get in our own way," write Simmons School of Management professor emerita Deborah M. Kolb and Jessica L. Porter in their book *Negotiating at Work: Turn Small Wins into Big Gains*. Pitfalls include failing to recognize opportunities to negotiate, focusing on our own weaknesses, and making the first concessions in our own heads before we have given other parties a chance to voice their positions.

Before a salary discussion even begins, we tend to think that the employer has all the cards. These internal dialogues are often where we make the first concessions, write Kolb and Porter. To position yourself to effectively self-advocate, they advise gathering information that will support your requests. Prepare to describe the value you would bring to the organization. Develop alternatives to the current negotiation to increase your flexibility at the table, and assess the hiring organization's alternatives. In addition, examine your vulnerabilities and plan ahead to compensate for them. For example, if you are insecure about a gap in your work

history, think about the important things you were doing during that time and prepare to share them with enthusiasm.

And if you feel “weird” or guilty about earning what your employer thinks you are worth? Maybe just take the raise anyway, and donate what you can to your favorite nonprofit, such as public radio.

Dealing with Salary Transparency

Comparing salaries has long been a social taboo between workers in the United States, but that’s changing. Websites such as Glassdoor.com, where people can post their salaries and other information about their jobs, and increased openness on social media are spurring a trend toward salary sharing among colleagues. Some organizations are being more open about posting salaries and salary ranges as well.

If you are asked to name your desired salary in a negotiation with a new potential employer, ask whether salary ranges are available. If not, you might mention why you value pay transparency in a potential employer and how the organization might benefit from it.

What if you learn you’re being paid less than colleagues in similar jobs? Because our fairness perceptions tend to be biased toward our own self-interest, you should check that you actually have a strong case before complaining to your employer. Consult with others in your field to get their opinion, and review objective industry standards. If you find solid evidence that you are underpaid, present your employer with the facts as you see them, being careful to stress that you believe any discrepancy is unintentional.

Advice for Organizations

If you’re a hiring manager, be aware that job grade systems that divide employees into levels with set salaries can improve the odds that employees will not only be fairly treated but also feel fairly treated. Talent acquisition consultant Tim Meurer told the New York Times that Colorado’s pay-transparency law forced managers “to really hold people accountable and have documented processes as

to why they're paying people, why they're moving people's compensation, why people are titled the way they were titled."

Meurer acknowledges that pay transparency tends to boost pay overall—something many employers are not thrilled about. "I think by and large, companies were getting away with underpaying people," he says. On the plus side for employers, job seekers are more likely to apply for positions that include salary ranges, the *Times* reports. Thus, pay transparency could give organizations a competitive advantage.

Should You Disclose Your Salary History?

Let's look at another issue related to sharing salary information in job negotiations: namely, new laws in some U.S. cities and states that bar employers from asking employees about their past salaries. What's the reason for such laws? Because women tend to earn less than men, the information they share about their past salaries may put them at a disadvantage relative to men when they negotiate for new jobs. Due to the *anchoring effect*, first documented by psychologist Amos Tversky and Daniel Kahneman, the first number mentioned in a negotiation, such as how much one earned in one's most recent job, exerts a strong influence on the discussions that follow. Laws and organizational policies aim to reduce this anchoring effect and promote more equitable hiring.

Even if it's legal in your area to ask about past salary in your area, you could politely explain that you would rather not provide such information, especially if your past salary was on the low end. You might simply explain that you believe you were underpaid and quickly move on to talk about how much you think you're worth.

When a Job Offer Is "Non-Negotiable"

Question: I am in my final year of business school and starting to prepare for job interviews. I have heard many of the organizations that recruit on campus are not open to negotiating specific terms of employment. Rather, they offer everyone roughly the same deal terms. To what extent should I respect such conventions versus trying to negotiate better terms for myself?

Answer: As you've heard, firms that hire a large number of college or professional-school graduates into entry-level positions tend to offer standard packages and avoid

negotiating with new recruits. If a firm hires more than four or five people each cycle and has hired “classes” of new employees with similar qualifications for years, you may have little room to negotiate your offer. Although negotiation isn’t encouraged in such situations, it isn’t forbidden. Here are a few tips to help you get a better offer:

- 1. Probe for signs of flexibility.** Often, by doing some research, you can uncover areas where potential employers may be flexible. For example, if a company wants to stagger the start dates of a group of new hires, management might be willing to accommodate your preference for a certain start date. If you have special expertise or experience, you could ask your interviewers if you might qualify for a more senior position. You might also find that volunteering for a particular role or agreeing to move to a less popular location could qualify you for a customized package.
- 2. Take a long-term perspective.** Ideally, you will face the task of comparing job offers from multiple organizations. When doing so, most candidates focus on salary, bonus potential, and other “year one” items, such as a signing bonus. But what happens after year one?

With a little research—such as calling alums from your school who have worked for the firm for several years, or asking your interviewers directly—you can get more information on trend lines. For example, Company A’s \$80,000 salary might sound better than Company B’s offer of \$70,000. But if you learn that Company A provides only cost-of-living raises, and Company B offers much more generous pay increases, the salary issue may level out or even reverse.

- 3. Create a scoring system.** The number of factors at stake in a job decision can be overwhelming: role, location, department, pay package, amount of travel required, and so on. Job candidates often find that they can effectively determine which issues matter most to them by creating a scoring system by which they can compare the various issues at stake. After weighing all the known elements of a job and likely trend lines, you might decide to negotiate the one or two issues that are most important to you.

4. Demonstrate flexibility. Because organizations are often hamstrung by policies and procedures, your interviewers are likely to appreciate some flexibility from you regarding how they meet your interests. You might explain that it matters little to you how the total dollars that you earn your first year on the job are divided up—among base salary, signing bonus, year-end bonus, and educational-loan repayment, for example.

In addition, think about how you might deliver more value to your employer. If you had hoped for a break between school and work, but they need someone to start right away, you might agree to start immediately in return for an extra two weeks off after the busy season. Such relatively minor concessions could inspire employers to reciprocate with flexibility on issues that matter more to you.

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Salary Negotiation Tips

Here are some dos and don'ts from negotiation experts on how to negotiate a higher salary after a job offer.

Don't ask if the offer is negotiable. Suppose you've just received a job offer. Out of politeness or uncertainty about what comes next, you might consider asking whether the offer is negotiable. In their book, *The Essentials of Job Negotiations: Proven Strategies for Getting What You Want*, Terri R. Kurtzberg and Charles E. Naquin advise against this: "Don't ask if an offer is negotiable; just jump right in and put your requests on the table." When you ask permission to make a counteroffer, you risk calling off the conversation. Anchoring the discussion on the assumption that the organization's offer is the opening volley rather than the final score could lead your counterpart to be more flexible than they had planned to be.

Do prepare to negotiate more than salary. As noted above, in most negotiations, haggling over a single issue, such as salary, is a mistake. Discussing multiple issues opens up many more opportunities to create new sources of value

by making trade-offs across issues. If a hiring manager says they don't have much wiggle room on salary, for example, maybe you can make comparable financial gains by negotiating for tuition or training benefits. Conversely, if your target salary would be high for your position, you may need to make a concession on another issue, such as the amount of time you will spend traveling for work.

Do thoroughly research what you're worth. Preparation is crucial when negotiating a higher salary. Fortunately, there is likely to be ample information online about salary ranges for particular jobs in your area, perhaps even for the very job you're considering. You might also reach out to others in your field to find out what a reasonable counteroffer might be. And if you are fortunate to have one or more competing offers, those can provide strong benchmarks as well.

Do justify your offer. When considering how to make a counteroffer, keep in mind that it should “come coupled with persuasive logic that feels fair and reasonable to the other side,” write Kurtzberg and Naquin. Both sides need to feel their counterpart has been fair, they explain. During the salary negotiation process, be sure to present the research you've done, such as industry benchmarks, as well as any attractive competing offers you may be considering. It's also smart to justify your request based on unique skills or experience you possess relative to other candidates. And when asking for special arrangements, such as working remotely an extra day a week, prepare to say why—such as, “My kids come home early from school on Fridays.” Any employer worth working for will want to do their best to accommodate reasonable requests, so make your request as compelling and easy to fulfill as possible.

Do take a long-term view. Remember that your negotiation is just the first stage in what will ideally be a long-term business relationship. Job negotiations provide a chance to show off your negotiating ability, your collegiality, and your reasonableness. So, avoid hardball tactics, such as threatening to walk away if you don't get your desired salary, insisting on concessions just for the sake of “winning,” or acting offended by a low opening offer. Most hiring negotiators will see through such strategies and might even consider withdrawing their offer if you use them.

Do try a range offer. In a 2015 study in the *Journal of Personality and Social Psychology*, Columbia University professors Daniel R. Ames and Malia F. Mason found that expressing offers and requests in a range can be a wise move. For example, if you think a \$75,000 salary would be reasonable, you could anchor a bit higher using a range, such as “I was thinking somewhere in the range of \$80,000 to \$90,000” (with a justification added). By conveying flexibility and accommodation, range offers may counterbalance the assertiveness associated with asking for more.

In their book *3-D Negotiation: Powerful Tools to Change the Game in Your Most Important Deals*, David Lax and James Sebenius also support mentioning a range. Specifically, they advise making a “non-offer offer,” or a statement that could anchor the discussion in your favor without seeming extreme. Suppose your research suggests that you would mostly likely fall into the \$70,000 to \$80,000 pay range, but the next-highest category seems within reach. Rather than saying, “I think I deserve \$80,000,” consider saying, “Correct me if I’m wrong, but I’ve heard that people like me typically earn \$80,000 to \$90,000.” Notice that this statement is not a demand. Yet due to the powerful impact of the \$80,000-to-\$90,000 anchor, it could very well move the numbers toward your upper goal.

Get Ready for a Signing Bonus Negotiation

After negotiating your salary, benefits, and responsibilities for a coveted job, most people are ready to shake hands and start sharing the good news. But there may be one more negotiation you should consider launching before saying yes: a signing bonus negotiation.

A signing bonus is a onetime sum offered early in your tenure with a new organization. Typically, if you leave the organization in less than a year, you will be expected to pay back any signing bonus you’ve been given. In 2023, 80% of organizations surveyed by nonprofit human resources association WorldatWork offered signing bonuses, which are also the most common form of bonus program.

Signing bonuses are most typically awarded to top executives, upper management, middle management, and professional staff. Employers offer signing bonuses to make their offer more attractive than the competition’s, to give you

more money than the upper limit for your prospective position, and/or to compensate you for income you were expecting from your current employer, according to Monster.com.

Employers sometimes offer signing bonuses strategically. For example, many would rather offer you a onetime bonus than bump up your salary for the duration of your employment. From your perspective, you will do far better financially over the course of your career if you can manage to convert a signing bonus offer into a higher salary. For example, if you are offered a \$5,000 signing bonus, you might say: “While I’d be happy to take the bonus, I want to make it clear that I see myself working here for quite a while. I’d prefer to reduce the bonus to \$2,500 and have the remaining \$2,500 added to my annual salary. I believe this demonstrates my long-term commitment to the organization.” The organization may be willing to pay you less now in exchange for potentially more later on.

If you haven’t been offered a signing bonus, consider asking for one. An employer that is reluctant to commit to a higher salary that will continue to rise during your tenure may welcome the opportunity to make the job more attractive to you with a onetime payment. It helps to offer a justification for your request. For example, if you would need to buy a new car because of a longer commute, you might ask for a signing bonus to help with the down payment.

Negotiating Salary with Some Help from AI

Increasingly, employees and job seekers are turning to artificial intelligence (AI) tools such as ChatGPT, Claude, or Perplexity for help navigating their careers. AI can identify jobs in your field, advise on how to prepare for a new career, improve your résumé, and coach you on how to answer tough interview questions. In addition, AI can offer advice on how to negotiate a pay raise or starting salary. While AI offers ample information cheaply and quickly, it can introduce errors and implicit biases into the hiring process, whether used by hiring organizations, employees, or job candidates.

Ask the Right Questions

In June 2023, *Employee Benefit News (EBN)* concluded that “ChatGPT is not ready to take on employee salary benchmarking.” When asked “What salary should I offer a software engineer in the U.S. with five years’ experience?” the chatbot responded with a salary range of \$100,000 to \$120,000 per year, perhaps up to \$150,000 in cities with a high cost of living, such as San Francisco, New York, and Seattle. (ChatGPT responded with a range of \$110K to \$140K in October 2025.) By contrast, *EBN* cited anonymized data from Dayforce (formerly Ceridian) clients showing that a more typical salary would be approximately \$87,000 for someone with five years of experience.

To answer the software engineer question, ChatGPT may have collected data on self-reported salaries, which tends to be inflated. *EBN* reported that ChatGPT provided a more accurate response when asked to respond as if it were a member of the HR team. This seemed to cue the chatbot to gather data from less biased, HR-focused sources. ChatGPT also provided more accurate salary ranges when asked to suggest an offer for a cashier in the United States with five years of experience.

These responses highlight the importance of asking AI chatbots the right questions when determining how to negotiate a pay raise or starting salary. In general, the more specific your request, the more accurate the response will be.

Fine-Tune Your Arguments

In an article for *Tom’s Guide*, Kaycee Hill offers advice on how to negotiate a pay raise using AI. Specifically, try the following prompts:

- Include a list of your recent accomplishments and ask the chatbot, “Help me describe these work achievements in a way that demonstrates their value” to the organization.
- Include organizational performance data and ask, “How can I connect my personal achievements to these company performance metrics?”
- Construct a compelling argument for a raise: “Based on my achievements and the salary data, help me create three strong reasons why I deserve a raise.”

As Hill notes, it’s also important to anticipate possible objections to your request when considering how to negotiate a pay raise, perhaps by asking, “What are

common objections to raise requests, and how can I prepare to respond to them?” You can also ask a chatbot for a sample salary-negotiation script to help you anticipate how the conversation might go if and when you’re offered a raise or starting salary.

AI Across the Table

After using AI to prepare for salary negotiations, you may find yourself negotiating your salary with an AI counterpart. [Pactum](#), a provider of automated procurement negotiation, created an AI chatbot to negotiate compensation packages with its employees.

The chatbot has created value in these negotiations by presenting employees with *multiple equivalent simultaneous offers* (also known as MESOs), Pactum president and co-founder Martin Rand told Axios. When a hiring organization presents several offers that it values similarly, it can boost the odds of coming to a win-win agreement.

Another benefit: While men tended to negotiate harder on compensation than women in person, men and women negotiated equally hard with the bot, according to Rand.

One Tool Among Many

[IBM reported](#) in a 2022 study that 74% of organizations had not taken steps to address bias in their AI. Though that number is likely to decline over time, it highlights that it would be a mistake for individuals to rely on AI as an exclusive source of salary data or for organizations to fully depend on it as a contract negotiator.

When preparing to negotiate their salary, job seekers and employees should continue to gather salary data from an array of online and offline sources, including websites, news stories, and industry insiders. Though, keep in mind that friends and associates might not be completely honest when citing average salaries for work they themselves perform. And, a final reminder: Hiring and promotion negotiations will create more value for both sides when they broaden beyond salary negotiations to include a wide array of issues, including benefits, travel, and responsibilities.

The Right Way to Negotiate a Raise

Feeling overworked and underpaid? Ready to march into the boss's office and demand a raise? Not so fast. One of the most common mistakes employees make is to ask for a salary increase impulsively, without doing sufficient research. To maximize the odds that any request you make will be met favorably, you will need to conduct fact-finding in several areas.

Begin by researching your organization's financial health. Does it appear to have the resources available to provide raises at this time? You may be able to get a sense of this from public records, media reports, or informal conversations with others in your organization, write Kurtzberg and Naquin in *The Essentials of Job Negotiations*. Also examine the state of your industry and the broader economy. If your industry is in turmoil or if the world is in the midst of a recession, it's probably not a good time to ask for a raise.

If you conclude that the time is right to request a raise, do further research. Try to determine your market worth by asking around your network or researching salaries online for people with your experience and qualifications. If you conclude you are underpaid relative to others in similar roles, you should be able to make a strong case for a raise.

What about the strategy of securing a job offer elsewhere and then asking your current employer to match the pay to get you to stay? Before doing so, assess whether this strategy is common and acceptable in your firm or industry, perhaps by consulting with trusted colleagues, suggest Kurtzberg and Naquin. If it is, threaten to take the other offer only if you are truly prepared to do so. If it isn't, you risk antagonizing your employer with such a threat.

Add Other Issues

As mentioned above, we often focus single-mindedly on salary expectations when assessing our value and future with an organization. Often, we can reap the same or better financial benefits with broader negotiation goals.

"Don't get fixated on money," writes Harvard Business School professor Deepak Malhotra in his *Harvard Business Review* article "15 Rules for Negotiating a Job Offer." "Focus on the value of the entire deal: responsibilities, location,

travel, flexibility in work hours, opportunities for growth and promotion, perks, support for continued education, and so forth.”

If your employer thinks you’re already sufficiently compensated or can’t afford to pay you more, it’s especially critical to broaden out from salary considerations. When you launch a wide-ranging discussion of how you can contribute to the organization, you bring more issues to the table and increase the odds that both parties will be satisfied with the outcome.

Frame Your Request for Success

Let’s say you’ve decided to ask for a raise. How can you increase the odds that your request will be met?

When speaking with your boss, “highlight the value that you add to the company through your past accomplishments,” write Kurtzberg and Naquin. Describe your achievements, including how they’ve improved the organization’s bottom line or otherwise contributed to key organizational goals.

How much should you ask for? Factors to consider include not just the prevailing rate for someone in your position but also the relative rise in the cost of living in your area since your last raise, the amount of time that’s passed since your last raise, your contributions to the organization, and so on. The salary negotiation tips offered earlier can help you craft your requests for maximum effect.